

SENATE BILL 2237

By Johnson

AN ACT to amend Tennessee Code Annotated, Title 7,
relative to local governments.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 7, Chapter 51, Part 22, is amended by
adding the following as a new section:

7-51-2204. Local development services.

(a) As used in this section, "local government" means a municipality, county, or
county having a metropolitan form of government.

(b) Notwithstanding another law to the contrary, a local government responsible
for reviewing a development application, development plan, or a site inspection
submitted by a developer for the purpose of developing real property in this state shall:

(1) Approve the development application, development plan, or site
inspection within thirty (30) business days of the date of submission; or

(2) Provide the developer with a written report of deficiencies with the
development application, development plan, or site inspection within thirty (30)
business days of the date of submission. A local government shall make all
efforts to consolidate all change requests pertaining to a single application into a
single deliverable document or set of documents when sending change requests
to an applicant. If a local government fails to issue an approval or an initial
written report of deficiencies within thirty (30) business days from the date the
application is received by the local government, then the application is deemed
approved.

(c) If a local government issued a written report of deficiencies and subsequently received documentation that each deficiency has been satisfactorily resolved, then the local government must issue the requested permit within thirty (30) business days of receipt of the new documentation.

(d) A local government reviewing a development application, development plan, or site inspection shall not issue more than two (2) written reports of deficiencies. If deficiencies identified in a second written report are not satisfactorily resolved, then the local government shall deny the application and provide written justification of the denial based upon specific evidence of noncompliance with one (1) or more statutory or regulatory requirements. Upon such denial, the local government shall return to the developer fifty percent (50%) of the total amount of fees the developer paid to the local government during the review process.

(e) If an initial development application, development plan, or a site inspection submitted by a developer is incomplete, then the local government must notify the developer of such incompleteness in writing within thirty (30) business days of receipt of the submission. Notification of incompleteness does not constitute a written report of deficiency pursuant to subsection (d).

SECTION 2. Tennessee Code Annotated, Title 7, is amended by adding the following as a new chapter:

7-70-101. Definitions.

(a) As used in this part, unless the context otherwise requires:

(1) "Contract" has the same meaning as provided in § 47-1-201;

(2) "Contractor" has the same meaning as provided in § 62-6-102;

(3) "Developer" means a party to a contract with a local government to improve real property within the jurisdiction of the local government;

(4) "Independent inspection" means an inspection completed by either a registered land surveyor, pursuant to title 62, chapter 18, part 1, or by a professional engineer who is registered with the state board of examiners for architects and engineers pursuant to title 62, chapter 2;

(5) "Local government" means a municipality, county, or county having a metropolitan form of government; and

(6) "Required bond" includes a bond, letter of credit, or other method of assurance posted for completion of development improvements, as described in §§ 13-3-403(b) and 13-4-303(b).

7-70-102. Prohibited conduct.

(a) Notwithstanding another law:

(1) A local government shall not amend or otherwise change a contract to which the local government and a contractor or developer are parties unless the parties agree to the modification in writing; and

(2) If a registered land surveyor or professional engineer determines upon conducting an independent inspection that a contractor or developer has completed all work required by a contract between the contractor or developer and the local government, then the local government must release the contractor or developer from its required bond within thirty (30) days of the local government receiving the written inspection report.

(b) A local government shall not require a contractor or developer to fund, build, or contribute to the development of infrastructure that is not included in a contract to which the contractor or developer is a party.

(c) Subsection (b) does not prohibit a local government and a contractor or developer from contracting for infrastructure development.

SECTION 3. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 4. This act must not be construed to repeal, modify, or apply to any contract existing on December 31, 2026, or repeal or modify any other law except as specified in this act.

SECTION 5. This act takes effect on January 1, 2027, the public welfare requiring it.